# Seize the day for tax reform

*John Hewson*

Take it from one who's been burnt attempting broad-based tax reform: now's the time to try again.

My main mistake as opposition leader in advocating broadbased tax reform in the early 1990s – as a key element of the Coalition's Fightback campaign for broad government reform – was to misread the politics.

I assumed Paul Keating could be held to his word, particularly his public support for a consumption tax after his "option c" – defined by a 12.5 per cent consumption tax – had been scuttled by a motel room deal between Bob Hawke and ACTU leader Bill Kelty. Keating said in a subsequent press conference: "I have always believed that an across-the-board, broad-based consumption tax was the best tax option for achieving major reform of the Australian tax system".

Naively, I hadn't expected he would reverse that position and run a scare campaign against the tax as the basis for "doing Hewson slowly".

Sure, I also helped with answers about the price of birthday cakes, attempting to demonstrate the complexity of the sales tax system to be replaced by a simpler GST. But this emphasised the need for an informed public debate to convince the electorate of the need for tax reform as a precondition to an effective overall reform agenda.

Genuine reform requires leadership that is prepared to prosecute the case, encourage mature debate and gradually implement pathways to achieve that reform. This will never be easy. Although the options have been well-analysed since the Asprey report in 1975 – we basically know what needs to be done – the circumstances must be right. The strong vested interests must be managed. Federal and state governments need to collaborate and, given their overlapping responsibilities, arrive at a deal on their respective expenditures and tax bases.

What better time than now? The challenge, read *opportunity*, is to develop an effective COVID recovery and reset a longer-term economic strategy – and to overhaul a tax and transfer system that is too complex, inefficient, unfair. The way it is, it will not support stronger growth, job creation, productivity or higher wages.

Now the national cabinet is permanent, this framework could move beyond scare campaigns to embrace genuine reform. The response to COVID from households, businesses and governments has been much faster and more substantive than could have been dreamt possible a few months ago. It has been driven more by national than vested interests. Governments have put ideology aside.

If the national cabinet can't manage it, our governments should agree to establish an independent, wellfunded commission to analyse, educate and drive tax and transfer reform over the next several decades.

Unfortunately, the Morrison government seems incapable of recognising the opportunity. Can the states, emboldened, step up? Certainly, NSW and Victoria have begun saying the right things about federation reform and tax – and one Coalition, one Labor to boot.

But we've been here before. In 2015-16, then NSW Liberal premier Mike Baird, backed by a Labor premier in South Australia, Jay Weatherill, called for an increase in the GST. The Turnbull federal government quickly squashed their initiative.

The need for reform is now even greater. While the GST always emerges as the pressure point, it doesn't need to be. John Howard was given credit for political cleverness in committing the GST revenue to the states as the basis of a "growth tax", but he ensured an annual brawl over its distribution.

There is no doubt increasing the rate to about 15 per cent and extending its coverage as broadly as possible could produce $90 billion to $100 billion a year (when the economy recovers), with about a third required to compensate the bottom 40 per cent of income earners. This is a lot of financial capacity to start to reform the tax and transfer system.

However, perhaps it would be better to be more innovative by ditching the GST and replacing it with a business cash-flow tax, in the style proposed by former Treasury secretary Ken Henry. This would allow a move away from profitsbased corporate tax – and to begin to tax the multinationals. And it would provide revenue to abolish inefficient state taxes such as payroll and insurance levies.

The states' revenue has also been volatile because of their reliance on stamp duties and resource royalties. Increasingly, they see the need to replace stamp duties with a land tax. A uniform national resource rent tax would help.

Both levels of government could work to replace vehicle taxes, such as petrol excise, the luxury car tax and registration charges with road user or congestion charges. This will need rethinking with the advent of electric vehicles.

The states are well ahead in committing to a low-carbon Australia by mid-century. It is time they worked together to embrace a national emissions trading scheme to accelerate and underwrite the transition.

It's time to put the failure of the past four decades in attempting tax reform behind us. Perhaps there will never be a better opportunity.

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